PRICE DISCRIMINATION ACROSS BUYER GROUPS: A NOTE

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1. Model

This section outlines a simple framework that rationalizes price differences across buyer groups and clarifies how differences in costs and demand elasticities generate those differentials.

Environment. A seller sets a price p for a good that can be sold to either of two buyer groups ($g \in \{A, B\}$). Let the seller's marginal cost of supplying the good be c. Serving group B may entail an additional per-unit cost $k \geq 0$ (e.g., customization, compliance, delivery), so effective marginal costs are

$$c_A = c, \qquad c_B = c + k.$$

Let $D_g(p; s_g)$ denote the seller's residual demand from buyer group g, where s_g summarizes market conditions and outside options faced by that group.

The seller chooses price to maximize expected profits:

$$\pi_g(p) = (p - c_g)\, D_g(p; s_g).$$

The optimal price satisfies the standard markup condition:

$$p_g^*(s_g) = c_g + \mu_g(s_g),$$

where $\mu_g(s_g)$ is the markup determined by the elasticity of residual demand for group g. Differences in equilibrium prices across buyer groups can therefore arise from (i) differences in marginal costs k, and/or (ii) differences in demand elasticities and resulting markups.

Literature. Rosen (1974); Stigler (1961)

References

Rosen, Sherwin, "Hedonic Prices and Implicit Markets: Product Differentiation in Pure Competition," *Journal of Political Economy*, 1974, *82* (1), 34–55. [1]

Stigler, George J., "The Economics of Information," *Journal of Political Economy*, 1961, *69* (3), 213–225. [1]